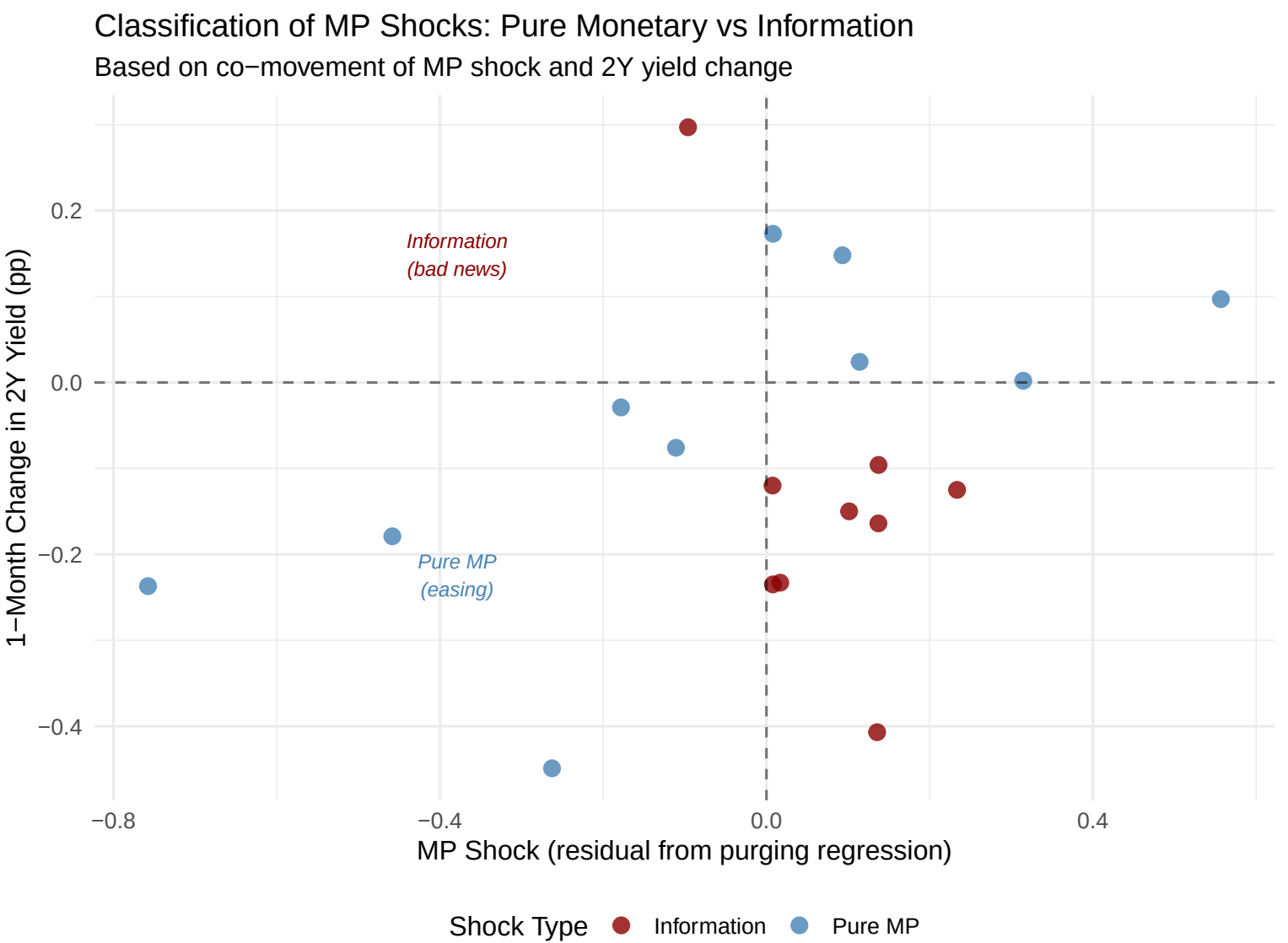
Classification of MP Shocks: Pure Monetary vs Information
Based on co−movement of MP shock and 2Y yield change
Information
(bad news)
Pure MP
(easing)
0.2
0.0
−0.2
−0.4
−0.8
−0.4
0.0
0.4
1−Month Change in 2Y Yield (pp)
MP Shock (residual from purging regression)
Shock Type
Information
Pure MP